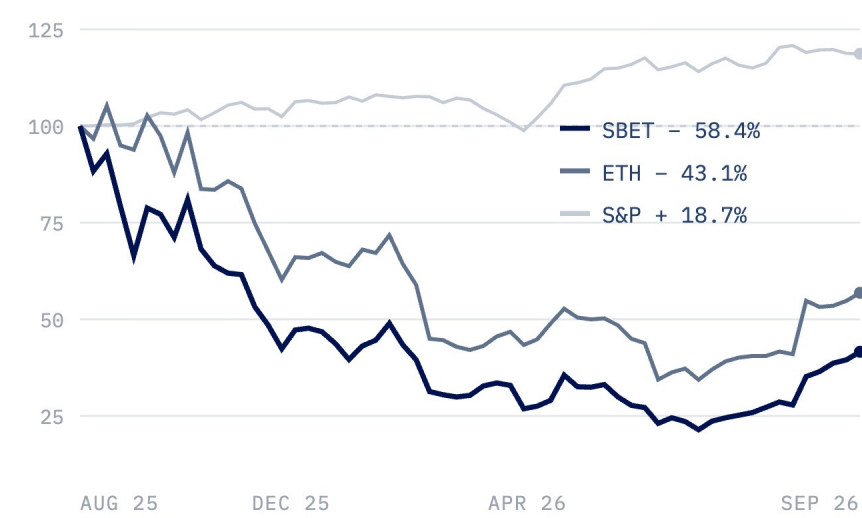


SBET’s biggest day in seven months was half ETH and half the multiple.

Half of Friday was mNAV, the multiple the market puts on net asset value. A third of the last thirteen months was. Trade SBET and you are betting on the discount as much as on ETH; hold it and ETH takes over, because the multiple mean-reverts and ETH does not. No leverage is involved – beta to ETH is 1.02. The discount has averaged 0.74×, and Friday leaves it among the narrowest 3% of sessions.

01 · WHAT’S HAPPENING: SBET VS. ETH AND THE MARKET

Friday moved SBET twice as far as ETH. Widen the lens and the gap runs the other way.



Over thirteen months SBET fell fifteen points further than the asset it holds, while the market it lists in rose. Buyers assume a treasury stock tracks its ETH. Something sits in between.

02 · WHAT’S IN BETWEEN: MNAV

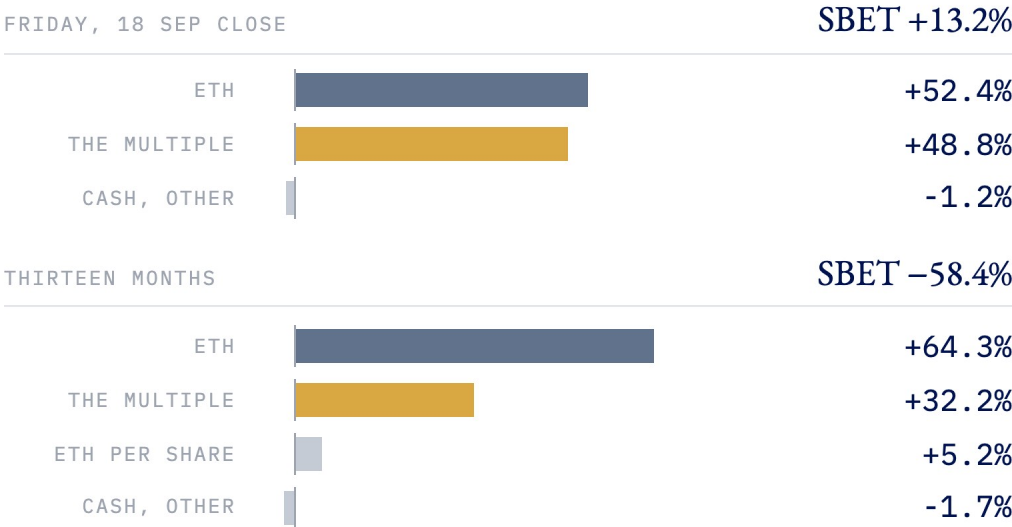
That something is mNAV, session by session, against the 1.00× line where price equals assets.



Below parity on 274 of 278 sessions, averaging 0.74×. Its own volatility is 59%, almost uncorrelated with ETH – which is why SBET is more volatile than either. What drives it is mostly not observable here: ETH explains almost none, the S&P a little.

03 · WHAT ARE THE SOURCES: ETH VS. MULTIPLE VS. OTHER

Split each move into its sources. Right of zero pushed the stock the way it went; left pushed back. Shares add to 100%.



Half the move on a single day; a third across thirteen months. The multiple round-trips, so the longer you hold, the more ETH decides the outcome – and the more the dilution is what is left. 4.284 to 4.095 does not come back.

1.02	1.26×	0.65	±48 pts	4.284 → 4.095
BETA TO ETH · THE EXPOSURE IS ONE UNIT	VOLATILITY VS ETH · 82% AGAINST 65%	R² ON ETH · THE REST IS MOSTLY THE MULTIPLE	TRACKING ERROR · A TYPICAL YEAR’S GAP TO ETH	ETH PER 1,000 SHARES · THE PART THAT DOES NOT ROUND-TRIP

Fifteen months as an ETH treasury company. At 48% tracking error, separating skill from noise here would take more than a decade.

Daily log returns, NYSE sessions. Identity: SBET return = ETH return + ETH-per-share growth + mNAV change + cash and other; shares are log contributions, which add exactly. Tracking error is the annualised standard deviation of SBET’s daily return less ETH’s; with beta at 1.02 it equals SBET’s volatility × √(1 – R²) – 81.6% × 0.59. mNAV is on basic-equivalent shares with total ETH units at spot, and steps between disclosure dates rather than being estimated daily – 12 Aug 2025 is the first date carrying both a disclosed unit count and a disclosed share count. June 2025 launch weeks excluded. The 0.74× line is the window average, not a fair value. Prices Yahoo Finance; holdings, share counts and balance sheet from SBET 8-Ks, press releases and Forms 10-Q. Not affiliated with Sharplink, Inc. The author holds SBET shares.